

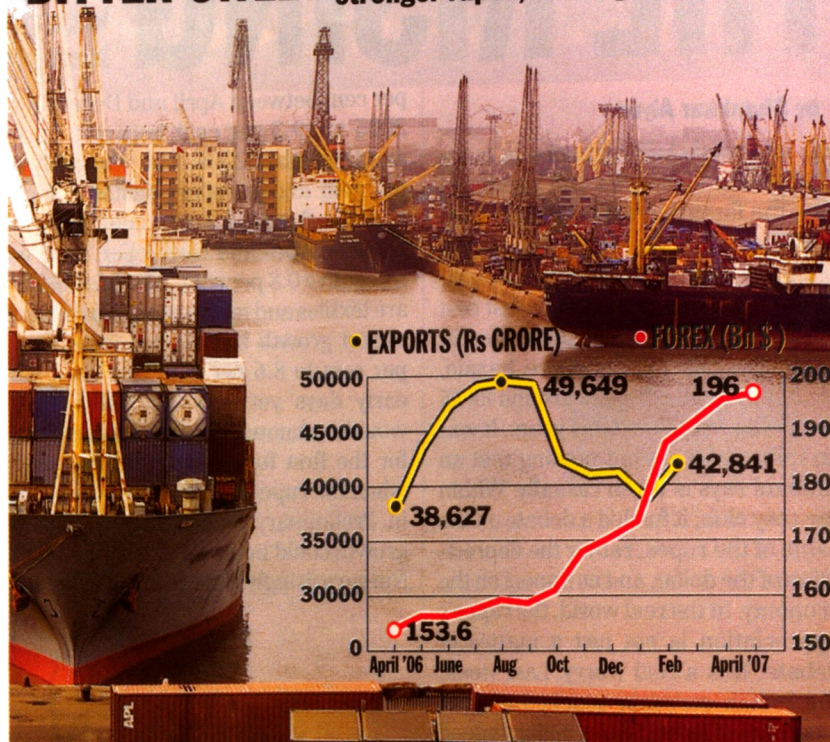
the previous year. With nominal GDP (GDP plus inflation) growth at around 14 per cent, liquidity was inflating costs and heating the economy. Ergo, RBI first targeted the cost of money by pushing up interest rates. This resulted in corporates going abroad and bringing funds via external commercial borrowings. Higher interest rates also resulted in NRI flows doubling from \$1.6 billion in April-January 2006 to \$3.6 billion in April-January 2007.

Clearly the massive inflows of forex were adding to the liquidity and RBI's woes. As Anand Krishnamurthy, head of treasury, HSBC India, points out, India being the flavour of the season investments are pouring in and inflows are outstripping outflows. Between April 2006 and March 2007, India added over \$42 billion to its reserves, of which \$20 billion were added between January and April, with \$11.8 billion flowing in just in February. Buying inflows means creating money as every dollar bought results in creating rupees. Indeed, between April 2006 and March 2007, RBI created Rs 1,93,170 crore as it added dollars to its reserves.

Should the apex bank intervene? Is a stronger rupee good for the economy? The answer depends on which side of the fundamental fence one is perched on. Textbook economics teaches us that strong currencies hurt exports and help imports as also help keep prices down. Real world economics is a bit more complex. Export competitiveness depends on many aspects, one of which is import content which in India is high. For instance, Mehul Choksi, CEO of Gitanjali Gems and Jewellery, explains that besides the loss in value of stocks (gold and diamond), a weaker dollar will hurt competitiveness by just about 2 to 3 per cent as the value addition is about 20-30 per cent. Those with lower value addition will obviously be hurt more.

In the software sector, V. Balakrishnan, CFO, Infosys Technologies, believes every one per cent dip in the dollar impacts operational incomes of IT companies by about 40 to 50 basis points. Many would argue that the pain

BITTER-SWEET Rising reserves have resulted in a stronger rupee, slowing down exports



“The rupee rise is worrying for exports, manufacturing and the economy at large.” KAMAL NATH, COMMERCE MINISTER

is bearable, especially as exporters get tax sops. The more extremist view is that the government cannot be the guarantor of profit for exporters. They too must adapt just as import-dependent industry adapted to a falling rupee and duties.

Surjit Bhalla, economist and MD of Oxus Research though believes “RBI is mistaken in its belief that its attempt to curb inflation with higher interest rates and a stronger rupee will yield results. Its top brass must be sent to China to learn exchange management.” After all, in the four months that the rupee gained 9 per cent the dollar weakened just 1.9 per cent against the Chinese yuan. The debate though is not just about exports. Can India afford to make imports cheaper—in the long run—just as its manufacturing sector is taking off?

There are clearly no pat answers.

The debate is not exporters versus importers or the voting class hurt by inflation against the non-voting class concerned about growth. India has to plan its transition to a high growth trajectory better. Sure RBI has opened up forex use for individuals and exporters to ease the pressure of inflows. There is talk about using the burgeoning billions to fund infrastructure. Forex reserves could also be used to build up food or fuel stocks. But we still need systemic changes to enable the absorption of inflows and fund growth.

The classic definition of inflation is too much money chasing too few goods. Ergo money created by inflows needs avenues to be absorbed. If investments stuck in policy logjam are cleared, inflows—now deemed inflationary—could be used to create productive assets. The Singh Parivar needs to sense the opportunity in the problem of plenty and capitalise on the India interest. Or else the phantom of inflation could render India to be flavour of just this season.

“The appreciation threatens India’s exports, industry, growth and employment.” SHANKAR ACHARYA, DIRECTOR, ICRIER